Basic Concepts of Income Tax

i. Assessee[(Sec. 2(7)]

Assessee means a person by whom any tax or any other sum of money is payable under this Act. It includes every person in respect of whom any proceeding has been taken for the assessment of his income or assessment of fringe benefits.

ii. Person[Sec.2 (31)]

The term 'person' includes the following

(i) an individual,

(ii) a Hindu Undivided Family (HUF),

(iii) a company,

(iv) a firm,

(v) an Association Of Persons or a Body Of Individual, whether incorporated or not,

(vi) a local authority, and

(vii) every artificial juridical person e.g., an idol or deity.



Structure of Indian Taxation System

Indian taxation system is one of the largest systems in the world.The authority to levy tax is derived from the Indian constitution and is well-structured. The tax administration has clear demarcation between Central Government and State Governments and then between State Governments and Local Bodies. Article 246 (Seventh Schedule) of the Indian constitution contains the legislative powers (including taxation) of the Union government and the State Governments.

iii. Assessment Year (A.Y)[Sec.2 (9)]

The term has been defined under section 2(9). The year in which tax is paid is called the assessment year. It normally consisting of a period of 12 months commencing on 1st April every year and ending on 31st March of the following year.

iv. Previous Year (P.Y)[Sec.(3)]

The year in which income is earned is called previous year. It is also normally consisting of a period of 12 months commencing on 1st April every year and ending on 31st March of the following year. It is also called as financial year immediately following the assessment year.

v. Income [Sec.2 (24)]

Income includes the followings;

i. Profits and gains of business or profession.

ii. Dividend

iii. Voluntary contribution received by a charitable / religious trust or university/ education institution or hospital/ electoral trust[w.e.f.01.04.2010]

iv. Value of perquisite or profit in lieu of salary taxable u/s 17 and social allowance or benefit specifically granted either to meet personal expenses or for performance of duties of an office or an employment of profit.

v. Export incentives, like duty drawback, cash compensatory support, sale of licenses, etc.,

vi. Interest, salary, bonus, commission or remuneration earned by a partner of a firm from such firm.

vii. Capital gain chargeable u/s 45.

Commerce 26_33.indd 310 13/12/2022 13:07:19